STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

CASE 19-G-0309 - Proceeding on Motion of the
Commission as to the Rates, Charges, Rules and
Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the
Commission as to the Rates, Charges, Rules and
Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

INITIAL BRIEF OF ESTATES NY REAL ESTATE SERVICES LLC

Dated: April 6, 2020

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I. PRELIMINARY STATEMENT

Estates NY Real Estate Services LLC("Estates") respectfully submits this Initial Brief regarding the above-captioned cases. This Initial Brief is substantially based upon the Direct and Rebuttal Testimony of Jared Rodriguez, Director, Utilities Conservation Engineering, of Estates. Estates owns and manages a large portfolio of buildings ("Portfolio") in the service territory of The Brooklyn Union Gas Company d/b/a National Grid NY ("Company") and is a large customer of the Company for Gas Service. His responsibilities include fostering building energy efficiency, developing and managing utility procurement, and determining paths to compliance with local, state and federal carbon emissions regulations. His testimony:

a. Addresses the value of natural gas demand response**;**
Supports the furtherance and expansion of the geothermal Non-Pipe Alternative ("NPA") and supports the Companies' Sustainable Heat Initiative;[1]

b. Supports decarbonization via electrification of building equipment to reduce growth in peak gas demand;

c. Supports furtherance of the Company's development of sources of biomethane and renewable natural Gas ("RNG") and Hydrogen Gas via a Green Gas Tariff to both reduce peak gas demand growth and decarbonize gas supply; and

d. Makes comments and recommendations regarding proposed changes to the SC-3 rate classification.

Estates believes that the Company's Future of Heat Panel has laid out three strategies/programs with significant merit that could economically and effectively

[1] TR at pg. 74 ln 3 through ln 14 (Testimony of the Companies' Future of Heat Panel)

lower GHG emissions across the Company's service territory. These plans include the following three programs: An expanded Gas Demand Response ("DR") project, creation of an RNG tariff - "Green Gas Tariff" - and the further development and expansion of the geothermal shared loop program – the Geothermal Demonstration Project. Each of these programs has the potential to lower greenhouse Gas("GHG") emissions, provide economic benefits to the Company's customers and more efficiently utilize the Company's current plant in service.

II. **PROCEDURAL BACKGROUND** Evidentiary hearings have been completed in the above-captioned rate case. This Initial Brief is being submitted on behalf of Estates pursuant to the briefing schedule established by the Administrative Law Judges.

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

D. Bill Impacts. Estates NY's building stock in New York City ("NYC") is primarily comprised of rent stabilized apartments regulated by the New York State Division of Housing and Community Renewal ("DHCR"). For that reason, a high proportion of Estates' tenants are low- and moderate-income residents. The higher natural gas rates proposed by the Company in Case 19-G-0309 will burden each property, creating upward pressure on rents for those residents who do not reside in rent stabilized apartments. The Company's rate increases have typically outpaced rent rate increases, reducing funds necessary to maintain or upgrade buildings in the Portfolio and provide resident amenities or services. Importantly, in order to achieve necessary carbon emissions reductions from this building stock, Estates and its peers must make substantial capital investments over the coming decade. These investments would be reduced in the event of significant increases in operating expenses of which the Company's proposed increases in the costs of natural gas would be a significant portion.

The Company is proposing an increase in base distribution rates of over 30% in the tail block for the SC-3 customer class. The overall increase in proposed bills to the typical SC-3 customer is 11%. customer is 11%. This large increase in base

rates is masked by historically low commodity costs, which only temporarily reduce the overall impact of this proposed rate increase. To expect that commodity costs will indefinitely continue to stay low and yet seek the proposed increases in customer bills is inconsistent. The real increase sought for the SC-3 customer will be approximately range of 25% on a typical bill. This increase is in addition to the greater than 25% increase in base rates agreed upon in in the Company's most recent rate case, Case 16-G-0059. For that reason, the base rates will have increased by over 50% in less than four (4) years for this rate class.

In the event natural gas prices were to rise to even five-year averages, the average bill would then increase by over $1.00 per MMBtu as a result of the purchased gas passthrough mechanism which shifts all gas cost risk to the Company's customers. One possible scenario might result from the widespread economic and financial disruption occurring in the gas drilling and fracking industry. Fracking has been a primary factor in keeping gas prices low. Should fracking diminish and more historically normal gas prices occur, the overall bill impacts upon SC-3 customers of the Company would be much larger.

IX. GAS POLICY AND ENERGY EFFICIENCY

We note that certain topics under this category overlap and interrelate. In that regard, some of the following discussions may cover more than one topic.

A. Energy Efficiency. (see discussion below)

B. Green Gas Tariff.

The development of more biomethane and RNG via a Green Gas Tariff would assist New York City and New York State in reaching stated decarbonization goals. Renewable natural gas and hydrogen blending help to achieve decarbonization goals by moving the natural gas network toward a regulatory regime harmonized with the Renewing the Energy Vision ("REV") framework. We strongly recommend that the Commission recognize the need for a gas REV

framework to foster gas network bi-directionality, an increase in local biomethane, RNG and hydrogen suppliers and sources, and to recognize the Company's gas distribution system's potential as a large-scale and seasonal energy storage and delivery system by the establishment of a Green Gas Tariff. Estates supports the Company's request for new full-time employees ("FTEs") to implement the Green Gas Tariff requested by the Future of Heat Panel in its testimony in this Case.

E. Demand Response.

Gas demand response an effective means of helping the State and City to reach its goals for maximizing the use of the existing gas distribution system and reducing the overall amount of fossil fuels consumed. In that regard, the Company's pilot gas demand response program should be significantly expanded to help address the capacity issues and enable the State, City and the Company to reach their respective goals.

Gas demand response permits the Company to maximize its gas network to bring additional commodity gas to its Customers, thereby offsetting carbon intensive liquid fossil fuels and reducing carbon emissions. A gas demand response program incentivizes Customers to limit usage at times of capacity constraints via direct payments to participating Customers which incentivize them to limit gas use generally and especially during such periods. This, in effect, monetizes timely responses during system constraint periods. Customers may utilize electrification and gas-to-electric switching as a means of achieving demand response goals, which not only helps to alleviate capacity limitation issues but also reduces carbon emissions. Peak period gas consumption, is often driven by morning domestic hot water ("DHW") demand layered on top of space heating demand; DHW should be an appropriate target for electrification or partial electrification in the near term.

In its Testimony, Staff approves of the Company's demand response program but opposes additional FTEs be approved for the DR project. The Companies do not agree with Staff's recommendation and urge the addition of dedicated FTEs.[2] Estates supports these additional FTEs to administer and expand the Gas Demand Response and implement and administer the Green Gas Tariff requested by the Future of Heat Panel in its testimony in this Case.[3]

In light of above considerations, enhancing or incentivizing gas demand response via electrification is an effective means of achieving decarbonization goals, reducing overall costs to gas ratepayers, maximizing gas network efficiency and utilization, improving local air quality, and fostering a market for the development of new methods or technologies. We also urge the Company to expand its existing pilot gas demand response program and ultimately make the program permanent.

Electrification would assist in avoiding expanding the existing, capacity-constrained natural gas network. One favorable method of managing decarbonization by electrification is expanded use of electric domestic hot water equipment. Specifically, as noted above, natural gas demand for the sole purpose of producing domestic hot water leads to network capacity constraints during periods of cold weather. This is caused by the peaking nature of domestic hot water demand in the morning coinciding with likely high natural gas demand response periods.

We acknowledge that when carbon-producing fossil fuels including natural gas are used to generate electricity associated power generation emissions partially reduce decarbonization effectiveness. We also acknowledge that such electrification may necessitate the construction of additional generation plants and

[2] TR pg. 169 ln 4 through ln 17
[3] TR pg. 218 ln at Ln 4

some expansion of the electric distribution network to accommodate the additional usage and demand that naturally follows electrification.

New York State's fleet of baseload electric generation plants include sources that do not use fossil fuel such as hydro, nuclear and utility scale wind and solar. As to the possible necessity for the addition of electric utility generation, transmission and distribution plant, it is anticipated that these would respond to increases in peak usage. However, in the event the initiatives and technologies recommended herein (and electric rate) may be expected to reduce peak usage of both gas and electricity, reducing the likelihood of any significant network expansion.

There are approaches and technologies, in addition to electrification, that would be helpful to achieving demand response goals. In that regard, load shifting is another approach to reducing demand. An example of load shifting technology is being implemented by companies such as RadiatorLabs, which modify radiator enclosures to store energy and release it on demand. It is possible to avoid natural gas consumption during peak gas periods with RadiatorLabs' technology and expanded thermal storage capacity. Pairing this technology with advanced electrification technologies would be likely to yield significant reductions in gas capacity constraints.

G. Geothermal.

The development and implementation of geothermal NPA-eligible heating systems helps Estates and the New York State energy marketplace via energy efficiency improvements, carbon emissions reduction and network resiliency.

Geothermal technology offers highly energy efficient production of domestic hot water and space heating. The technology, particularly shared loop geothermal energy systems, if widely implemented, would play a significant role in

reinforcing the Company's ability to meet decarbonization goals via heating electrification and reducing peak gas capacity.

Without addressing potential legal steps necessary for the Company to engage a line of business producing, distributing and selling geothermal energy, we support the Company's development of alternative revenue sources with an affiliated thermal company selling thermal energy as a means of offsetting possible losses incurred by an overall reduction in fossil-based natural gas consumption. Alternatively, or concurrently, the production and sale of geothermal energy would also provide private businesses with opportunities resulting in job creation in New York State. Utility management of thermal distribution networks would provide a platform for new and vastly increased private thermal energy generation activity. Geothermal technology helps Estates meet regulatory requirements in that it provides a cost-effective low- to zero-carbon source of heat and remains a technologically feasible alternative, or supplement, for the wholesale electrification of large multifamily and commercial buildings.

A thermal company would build, maintains and manages shared infrastructure (which would include locations in public rights of way and on private property) that provides a heating and cooling medium for water source heat pumps or similar technologies. A thermal company's distribution facility would most likely be comprised of a horizontal water pipe network, heat exchangers, pumps and pumping stations, and physical connections to customers and heat sources or sinks. The thermal company, would provide a platform for sharing thermal energy across various customers, and might offer the possibility of establishing a bi-direction thermal distribution system similar to the bi-directionality of the electric distribution network envisioned by New York States Renewing the Energy Vision ("REV") plan.

Estates encourages the Commission to explore a potential for a regulatory framework for the creation of thermal companies.[4] Assuming that the applicable legal hurdles can be surmounted and the establishment of a thermal distribution network can be accomplished by the Company, such a model would be complementary to the Company's goals as expressed in the Future of Heat Panel's direct testimony.

Given the advantages of the Geothermal Demonstration Project, we are concerned that, in its testimony, Staff expresses a negative view towards this project and neither supports that project nor the addition of a proposed incremental dedicated FTEs.[5]. Conversely, Estates supports the expanded use of geothermal technologies such as the Geothermal Demonstration project[6] together with the addition of dedicated FTEs.

Estates believes that a failure to fully staff or support these programs in the rates to be implemented in this rate case will cause these programs to be expanded too slowly or not at all at a time when New York State needs clear and decisive action with regard to achieving decarbonization as well as reliable natural gas deliverability.

The current reliance solely on electrification via air-source heat pumps is myopic and discriminates against other technologies. New York State should be pursuing all forms of thermal energy to reduce our reliance on fossil fuels to heat our homes and businesses. To accomplish the worthy goal of bringing geothermal technology to the fore, we believe that the Company with the most experience of delivering thermal energy in underground pipe networks is in the best position to continue doing so.

[4] TR pg. 218 Ln 19 through pg. 219 Ln 2
[5] TR pg. 170 line 13 through pg. 171 ln 3
[6] TR pg. 174 ln 20 through pg.175 ln 5

J. Hydrogen Blending Study.

Hydrogen and RNG blending would help to achieve decarbonization goals by further moving natural gas toward a regime harmonized with the REV framework.

Reducing the carbon intensity of the natural gas supply via hydrogen blending is a possible solution to avoiding the substantial waste associated with the abandonment of any portion of the natural gas infrastructure (which infrastructure has been increasingly adopted in recent years by Customers) which would be a desirable outcome of State decarbonization efforts. Such solutions should also include the use of renewable hydrogen sources such as renewable power to gas, agricultural, dairy or solid waste industry-sourced gaseous fuels like biomethane.

Q. Consistency of Rate Design and Revenue Allocation with Climate Leadership and Community Protection Act.

Recent legislation includes the Climate Leadership and Community Protection Act (2019 N.Y. SB 6599), the New York Independent Service Operator's ("NYISO") IPPTF Carbon Pricing Proposal, NYC Local Law 97 of 2019 together with and additional efforts to modify New York Stated Energy Research and Development Authority ("NYSERDA") or utility-managed incentive programs to further buildings' energy decarbonization and efficiency. Compliance with statutes, regulations and orders relating to these initiatives will require large capital expenditures at properties such as those in the Portfolio to modify or replace building equipment.

It is important to bear in mind that property owners from smaller multi-family residential to large commercial have substantial sunk costs related to natural gas infrastructure and heating plant equipment which burns natural gas as a primary fuel. The full lifecycle costs that Customers will face include substantial costs in connection with decarbonization. In addition, customers unable to comply with

NYC Local Law 97 of 2019 because of the age of the building or other factors may be burdened with additional costs such as the requirement to purchase renewable energy credits ("RECs") to comply with the required annual building emissions limits.

In order to implement the programs discussed above, it is key for the Company to retain necessary personnel and financial resources. In that regard, Staff in the Direct Testimony of the Staff Efficiency and Sustainability Panel regarding the expansion of the Company's two DR programs, supports the Company's proposals in principle for Demand Response.[7] We are concerned, however, that, while Staff supports the above two DR programs in principle, Staff did not fully support them by allowing the expenses for the necessary FTE's to support these DR programs.[8]

XIX. CONCLUSION

For the reasons set forth above, Estates supports rate relief in this Case that is sufficient to enable the Company to pursue Gas DR, Geothermal Shared Loop Networks, RNG, hydrogen blending and its related initiatives including its requested FTEs to implement, initiate and perform such programs and projects.

[7] TR pg. 690 ln 17 through ln 24
[8] TR pg. 693 ln 23 through pg. 694 ln 16

Respectfully submitted,

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Dated: April 6, 2020